GLOBAL FX TRADER

Divergence Dialed Up

Kamakshya Trivedi
+44(20)7051-4005 |
kamakshya.trivedi@gs.com
Goldman Sachs International

Michael Cahill
+44(20)7552-8314 |
michael.e.cahill@gs.com
Goldman Sachs International

Danny Suwanapruti
+65-6889-1987 |
danny.suwanapruti@gs.com
Goldman Sachs (Singapore) Pte

Teresa Alves
+44(20)7051-7566 |
teresa.alves@gs.com
Goldman Sachs International

Karen Reichgott Fishman
+1(212)855-6006 |
karen.fishman@gs.com
Goldman Sachs & Co. LLC

Stuart Jenkins
+44(20)7051-4700 |
stuart.jenkins@gs.com
Goldman Sachs International

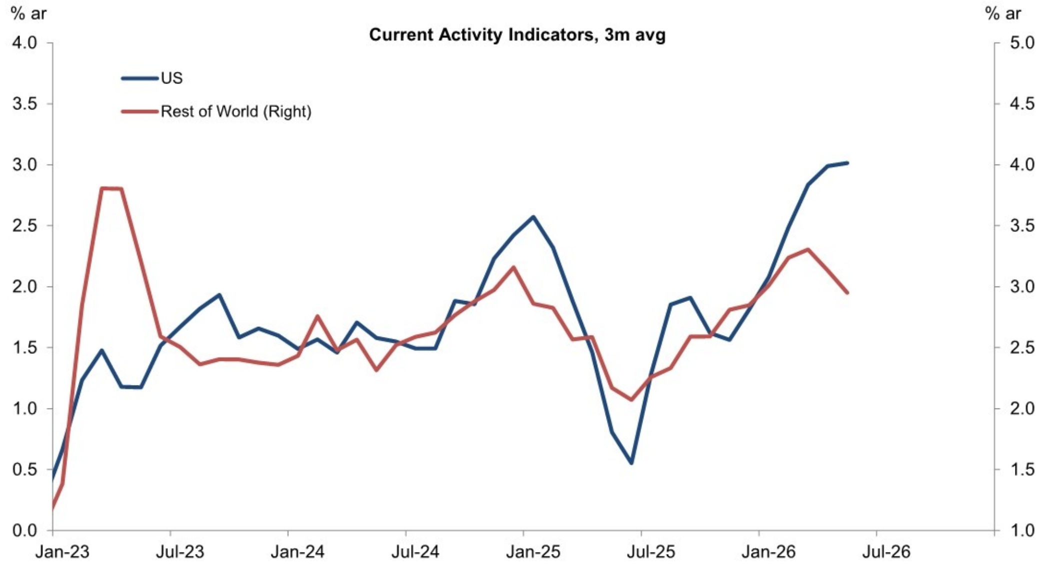
Victor Engel
+44(20)7051-3862 |
victor.engel@gs.com
Goldman Sachs International

Lexi Kanter
+1(212)855-9701 |
alexandra.kanter@gs.com
Goldman Sachs & Co. LLC

Our thoughts on USD, GBP, EM FX, NJA FX, AUD, NOK & TRY

- **USD: On firmer footing.** Diverging economic data have started to confirm the case for a firmer Dollar footing. We have emphasized that shifting terms of trade have dictated FX returns in recent months and led to strong vol-adjusted moves in near-neighbor crosses, underneath the surface of FX markets. These ToT shifts should lead to diverging growth outcomes, which have started to become clearer in recent activity data, including the sharp downside surprise in China April activity data and the deceleration in the May flash PMIs for Europe. Prior to the conflict, we argued that less exceptional US performance should lead to a less-strong Dollar over time, but we now think Dollar performance should be more divided than before. While there are a number of important exceptions, like CNY and commodity-intensive exporters, the net effect of the AI boom and higher-for-longer energy prices leaves the US looking like a relative outperformer once again (Exhibit 1). The latest set of data help demonstrate that, other things equal, each day of restricted commodity flows is incrementally positive for the Dollar. We believe that some of the recent underperformance in European currencies, and sharper move in DXY, reflects the concern that a longer disruption will start to more significantly constrain activity in the region. We think this is an important and likely durable shift in market dynamics that are increasingly reflected in the Dollar rather than being limited to shifts in relative value pairs. Recent moves give USD more room to sell off on risk relief, or renewed tech sector concerns, but we think as long as energy flows remain restricted there is building and broadening appreciation pressure on the Dollar.

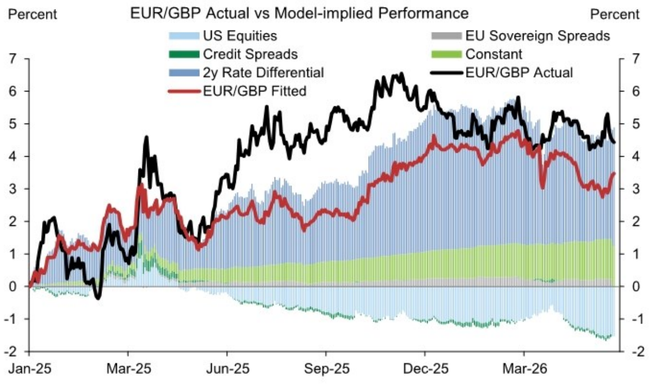
Exhibit 1: The net effect of the AI boom and higher-for-longer energy prices leaves the US looking like a relative outperformer



Source: Goldman Sachs Global Investment Research, Bloomberg

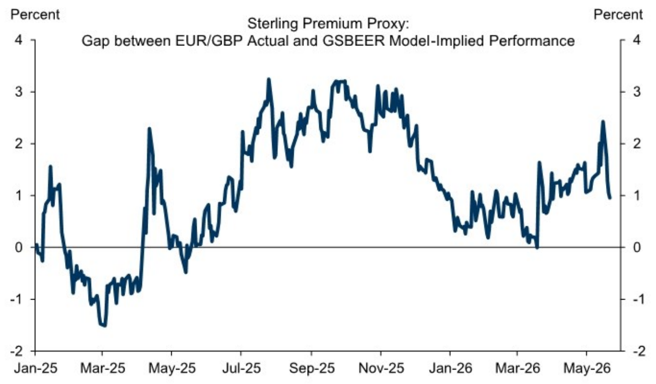
- **GBP: Swings and bouts.** We think the past two weeks of price action in EUR/GBP are best characterised as a large round-trip in Sterling risk premium. Our cyclical GSBEER model picks this up quite clearly (Exhibit 2 and Exhibit 3)— with the move lower in the cross this past week coming despite a series of disappointing UK data and shifts in rate differentials that on paper should have pointed to Sterling underperformance. The UK political backdrop remains complex and highly uncertain, but we think recent developments tally with the observed relaxation in premium, together with the stabilisation in bonds markets. The possibility of a more drawn-out leadership challenge timeline revolving around the by-election on June 18, and prospective leadership contender's apparent commitment to the existing fiscal rules likely both lean in that direction. At a higher level, recent moves are consistent with the 2025 pattern of fiscal and political premia weighing on Sterling in bouts rather than as a steady accumulating trend. Chasing further increases in EUR/GBP spot and vol has rarely been profitable at times over the past year when our measure of Sterling premium has already risen sharply. Instead, EUR/GBP topside expressions have performed better after relaxations in premium, and this pattern argues for attractive risk-reward in tactical EUR/GBP topside at current levels in our view. The asymmetric risk of further bouts of Sterling premium ahead is an important consideration for EUR/GBP, but it is key in our view that underlying macro trends and the current energy shock lean in the same direction. Structural Sterling overvaluation and elevated BoE hike pricing should apply downward pressure to the currency over the months ahead, and recent increases in borrowing costs and energy pressures form an already-precarious starting position for fiscal policy uncertainty to be priced on top of. We remain of the view that while EUR/GBP likely offers the cleanest way to gain exposure to Sterling premium, crosses like GBP/AUD and GBP/USD that also capture diverging energy terms of trade impulses are better suited to capturing Sterling downside in the medium-term.

Exhibit 2: EUR/GBP reset lower this week despite our GSBEER model implying upward pressure from shifting rate differentials amid a weaker set of UK data



Source: Goldman Sachs Global Investment Research

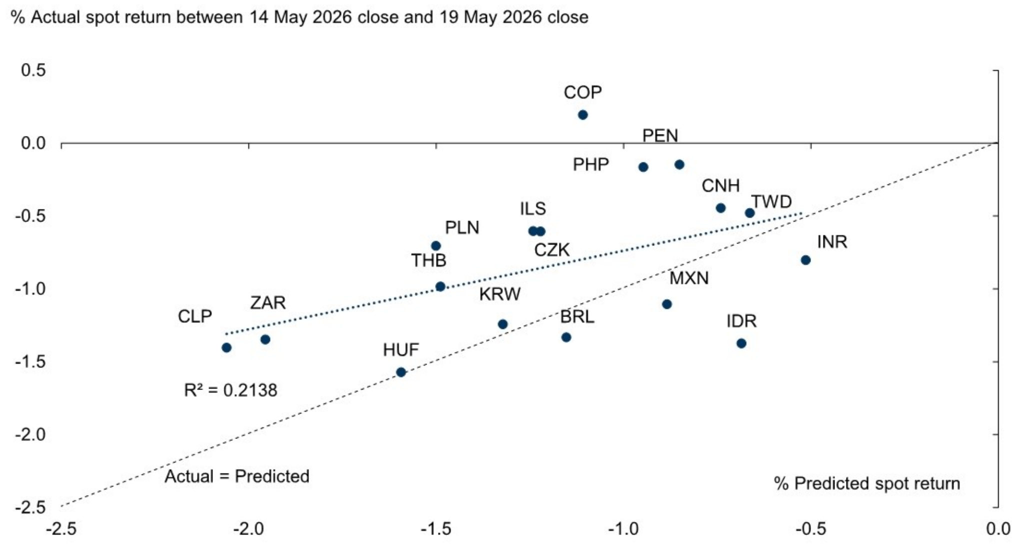
Exhibit 3: Our model interprets this gap between actual and implied performance as relaxation in Sterling risk premium



Source: Goldman Sachs Global Investment Research

- EM FX: Rate reality check. While hopes of a US-Iran deal led EM currencies stronger over the last few days, the combination of higher long-end yields and weaker risk sentiment had been a key headwind over prior sessions. In our latest EM deep-dive, we looked at EM FX performance relative to the sharp moves in long-end yields and found that the combination of higher US yields and declining equity and copper prices helped explain most of the relative performance across currencies (Exhibit 4). Our analysis has consistently found that if US 10-year yield increases come together with a pro-cyclical rotation, as was the case at the start of May, then EM currencies are able to digest the rate increase more easily. Still, if US 10-year yields rise faster than about a 20-30bp/month 'speed limit', it is hard for EM FX not to come under pressure even if cyclical equities are still doing well. We think the differing implications of these two findings can help explain why EM FX depreciated as long-end yield moves accelerated (and impacted risk sentiment), but still outperformed our 'predicted' benchmark on net. Looking across EM currencies' sensitivities to US real 10-year yields, ZAR, COP, PLN and HUF performance versus the Dollar screens as historically the most sensitive (though this beta has been declining for HUF), and these currencies were also among the larger movers during the summer 2023 back-up in US long-end yields together with CLP. MXN screens as more resilient to US long-end yield moves now relative to its history, which together with the Peso's US-specific cyclical exposure argues for holding MXN longs in an EM carry basket. In this context, CLP and THB screen as attractive funders that can increase the resilience of an EM carry basket to US yield moves, in addition to muting the impact of broader risk shifts.

Exhibit 4: EM currencies depreciated between May 14 and 19, but most outperformed what shifts in rates, equities and commodities would have implied.



Predicted returns based on sensitivity of weekly FX returns vs USD to changes in the S&P, US 10-year real yields, oil and copper prices over the 5 years before May 14, 2026.

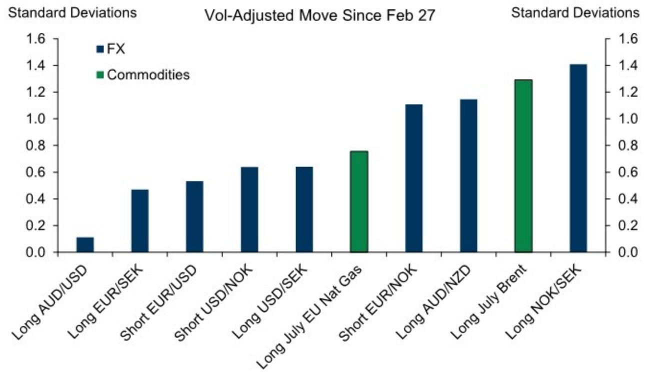
Source: Bloomberg, Goldman Sachs Global Investment Research

- **NJA FX: Rate defense steps up.** While inflation has been rising steadily and Asian currencies have weakened since the start of the Iran War, the overall impact on growth in Asia has been less than initially feared. This combination makes it harder for Asian central banks to "look through" the conflict on hopes of an oil price normalization. The Philippines' BSP delivered a 25bp hike in April to tame inflation and we are now calling for an off-cycle hike (likely this coming week), followed by 75bps of further hikes to reach a terminal rate of 5.50%. BI has now joined in and surprised markets with a 50bp hike to 5.25% this week, as part of its efforts to defend IDR stability which has been under pressure from US rates. Despite continued CNY strength and booming tech exports, KRW has weakened as much as the most energy exposed currencies (INR, PHP and THB) due to large equity outflows more than offsetting the widening in the trade balance. Looking forward, we now expect the BoK, RBI, and CBC to join the tightening cycle as well, with two hikes expected for the BoK (not this week, but in Q3 and Q4), two hikes expected for the RBI (both in Q4), and two 12.5bp hikes for the CBC (Q2 and Q4). Malaysia and Thailand are the only two regional central banks that we expect to remain on hold, but risks have tilted more hawkish, given still-elevated oil prices and no clear path for normalization of energy flows through the Strait of Hormuz. Despite the hawkish policy responses, we expect the negative terms of trade shock to dominate the price action and point to further underperformance of the energy-exposed currencies (PHP, INR, IDR, and THB).
- **AUD: Slower motion**. AUD/NZD's strong run has stalled over the past month, which we partly attribute to softer domestic data including the weaker than expected April employment report. Together with softer inflation and still-weak consumer

sentiment, the domestic backdrop has been looking broadly less constructive for AUD. Following the latest data, our economists have pushed back their call for a final 25bp RBA hike from June to August. Given stretched positioning, we have been flagging scope for AUD/NZD reversal should the RBA turn less hawkish, the domestic data continue to disappoint expectations, or the terms of trade backdrop become less supportive. The incoming news have been consistent with the first two. And while we continue to expect that higher-for-longer energy prices should support the currency, there have been more instances over the past month of rising equities and lower oil prices—a backdrop in which AUD/NZD tends to underperform. We think this dynamic could continue if markets begin to price a more sustained end to the conflict. That said, we still expect AUD to remain a relative outperformer more broadly—particularly versus the Dollar—given AUD's constructive carry proposition, its exposure to China's export-led growth momentum, and our expectation for risk sentiment to remain resilient.

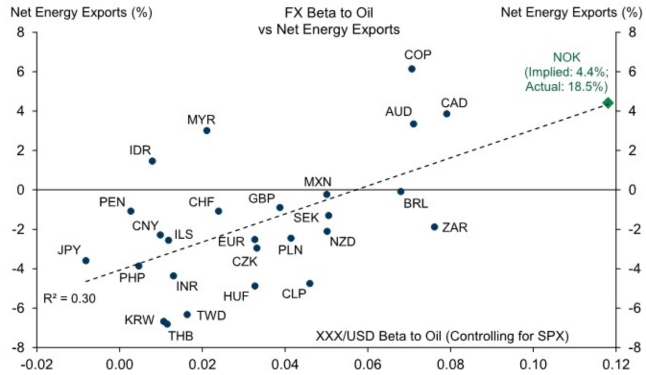
- **NOK: The oil proposition**. NOK's energy credentials have propelled it to some of the best returns across global FX over the past few months (Exhibit 5). This has been most striking in NOK/SEK, which has seen vol-adjusted returns on par with July Crude oil longs since Feb 27, and the rally appears broadly justified by shifting energy prices and rate differentials under our GSBEER model. The extent of the Krone's recent outperformance is therefore unsurprising to us as a preeminent global energy haven, but we also think Norway's unique fiscal mechanism adds another layer to the NOK's relationship to energy prices over a longer timeframe. NOK's beta to oil is lower than would be implied purely by the country's net energy export concentration (Exhibit 6), and we think this translates into a much slower moving tailwind for the currency through incremental improvements to future fiscal capacity in an environment of higher-for-longer energy prices. The Government's recent upgrade to their expected net contribution to the pension fund from energy profits is an example of this. All told, the unfolding energy shock and the still-limited headwinds to the currency from our structural valuation models presents a compelling proposition for the currency. We revise our EUR/NOK forecasts to 10.60, 10.60, and 10.50 in 3-, 6-, and 12-months' time, and NOK/SEK to 1.04, 1.02, and 1.00 over the same horizons. That said, we think NOK's linkages to broader European cyclical conditions likely cap the potential for more outperformance ahead relative to other commodity exporters.

Exhibit 5: Long NOK/SEK has been on par with long July Brent for vol-adjusted returns in the energy shock



Source: Goldman Sachs Global Investment Research, Bloomberg, Goldman Sachs FICC and Equities

Exhibit 6: Norway's fiscal mechanism reduces NOK's sensitivity to daily oil returns

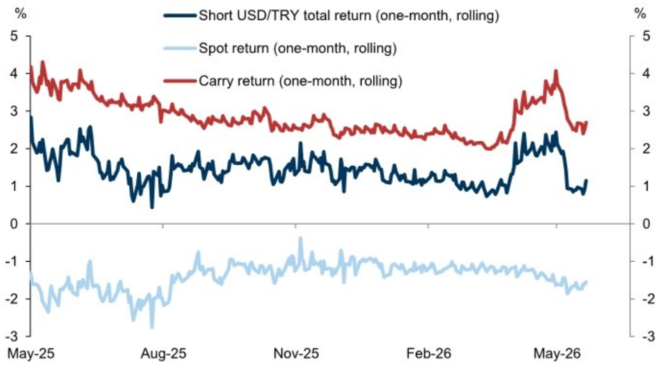


Net energy exports reflect an average across 2010-2025. FX betas to oil estimated on daily returns from 2010-present, and controls for returns in the S&P 500.

Source: UN Comtrade, Haver Analytics, Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

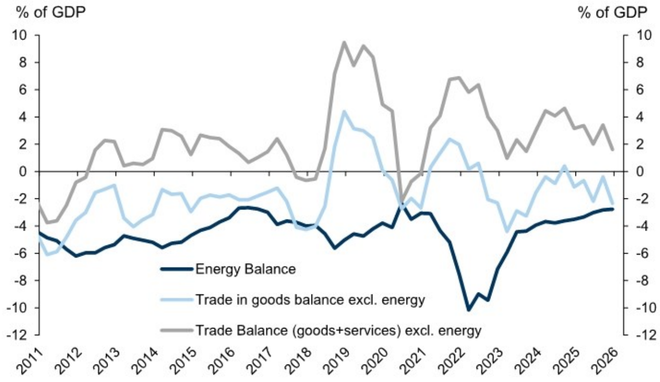
- **TRY: Growing macro and political risks.** The Turkish Lira has remained on a managed depreciation path since the beginning of the Iran conflict, with spot moves undershooting the depreciation risks that were embedded in FX forwards through March. As a result, rolling total returns ticked up through April, but have since normalised back to ~1%/month (Exhibit 7). This normalisation also reflects a slight acceleration in the pace of TRY depreciation to -1.5-1.6%/month since the start of May (Exhibit 7). This likely illustrates the tension between wanting to maintain a stable FX anchor to limit the rise in inflation expectations and the continued erosion of reserve buffers in the wake of a negative terms-of-trade shock. After a large decline in March, reserve assets have stabilised (and even increased recently), but remain US$38bn below than their pre-war levels. We continue to think the TCMB's reserve buffers remain sufficient to handle a temporary energy price shock and the potential associated foreign outflows, as long as local dollarisation, which itself is responsive to FX shifts, remains limited. Still, the recent increase in political uncertainty following a court's decision to void the election of the main opposition party's leader represents an additional source of pressure on reserves as reflected by significant FX sales by state banks following the news, and by local outflows during past episodes of political volatility. Moreover, the continued deterioration in the core trade balance is a more structural concern beyond the impact of higher energy prices on external balances (Exhibit 8). The timing and overlap (or lack thereof) of these two shocks will matter for their overall impact on reserve assets, and therefore on TRY management. Beyond domestic risks, valuation effects on gold reserves and broad Dollar fluctuations are the key global risks we are monitoring. To account for the passage of time and the slight acceleration in the path of depreciation, we revise our USD/TRY forecasts to 48, 50, 54 in 3-, 6-, and 12-months (from 46, 48, 52 previously).

Exhibit 7: The pace of monthly TRY depreciation has accelerated slightly from -1.1/1.2% to -1.5/1.6% since start of May



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 8: Turkiye's core trade balance (i.e. excluding energy) has been deteriorating in recent quarters



We display seasonally adjusted quarterly data.

Source: Haver Analytics, Goldman Sachs Global Investment Research

Global FX Forecasts

	Current Spot	3-Month Horizon		6-Month Horizon		12-Month Horizon	
		Forward	Forecast	Forward	Forecast	Forward	Forecast
G10							
EUR/$	1.16	1.17	1.14	1.17	1.18	1.18	1.20
£/$	1.34	1.34	1.33	1.34	1.34	1.34	1.33
AUD/$	0.72	0.71	0.72	0.71	0.73	0.71	0.74
NZD/$	0.59	0.59	0.60	0.59	0.61	0.59	0.62
$/CAD	1.38	1.37	1.36	1.37	1.34	1.36	1.32
$/CHF	0.79	0.78	0.78	0.77	0.76	0.76	0.76
$/NOK	9.24	9.25	9.30	9.27	8.98	9.31	8.75
$/SEK	9.34	9.30	9.65	9.25	9.15	9.17	8.75
$/JPY	159	158	160	157	158	154	155
EMEA							
$/CZK	20.9	20.9	21.5	20.9	20.7	20.8	20.2
$/HUF	309	310	311	311	297	313	288
$/PLN	3.65	3.65	3.77	3.65	3.60	3.66	3.54
$/RON	4.51	4.53	4.52	4.55	4.39	4.59	4.38
$/RUB	73.27	73.27	80.0	75.32	85.0	79.51	90.0
$/UAH	44.2	45.3	44.0	46.7	46.0	49.3	48.0
$/TRY	45.59	50.27	48.0	54.85	50.0	64.40	54.0
$/ILS	2.91	2.90	3.00	2.89	3.05	2.88	3.10
$/ZAR	16.46	16.58	16.50	16.71	16.00	16.99	15.75
$/NGN	1371	1413	1325	1452	1300	1525	1250
Americas							
$/ARS	1390	1474	1500	1571	1600	1783	1800
$/BRL	5.00	5.12	4.90	5.22	5.00	5.43	5.00
$/MXN	17.31	17.45	17.75	17.59	18.00	17.88	18.00
$/CLP	898	898	920	898	900	899	860
$/PEN	3.41	3.43	3.40	3.44	3.35	3.48	3.30
$/COP	3686	3765	3600	3855	3700	4040	3750
Asia							
$/CNY	6.80	6.75	6.80	6.71	6.70	6.62	6.50
$/HKD	7.83	7.81	7.80	7.79	7.80	7.76	7.80
$/INR	96.20	97.22	97.00	98.23	96.00	99.98	96.00
$/KRW	1509	1505	1460	1501	1440	1494	1420
$/MYR	3.96	3.95	3.90	3.94	3.80	3.92	3.70
$/SGD	1.28	1.27	1.28	1.26	1.25	1.25	1.24
$/TWD	31.6	31.7	31.5	31.7	31.0	31.8	30.5
$/THB	32.64	32.52	34.00	32.38	33.50	32.08	33.00
$/IDR	17654	17749	17000	17857	17100	18077	17200
$/PHP	61.59	61.72	62.00	61.95	61.00	62.43	61.00
Euro Crosses							
EUR/GBP	0.87	0.87	0.86	0.87	0.88	0.88	0.90
EUR/CHF	0.91	0.91	0.89	0.90	0.90	0.89	0.91
EUR/NOK	10.73	10.79	10.60	10.85	10.60	10.97	10.50
EUR/SEK	10.85	10.84	11.00	10.83	10.80	10.81	10.50
EUR/CZK	24.29	24.36	24.50	24.43	24.40	24.56	24.20
EUR/HUF	359	362	355	364	350	368	345
EUR/PLN	4.24	4.26	4.30	4.28	4.25	4.32	4.25
EUR/RON	5.24	5.29	5.15	5.33	5.18	5.41	5.25
EUR/RUB	85.1	85.5	91.2	88.2	100.3	93.7	108.0

Note: Spot values are as of Thursday's close.

See dynamic table here (or click image above): https://publishing.gs.com/content/themes/fx-forecasts.html

Source: Goldman Sachs Global Investment Research

Return Forecasts & Valuations

	Current Spot	Forecast: 12-Month Return (%)				GSDEER			GSFEER			Average Estimate	PPP*
							Misalignment			Misalignment			
		Spot	Carry	Total	NEER	Estimate	Bilateral	Trade-Weighted	Estimate	Bilateral	Trade-Weighted		
G10													
EUR/$	1.16	3.3	-1.4	1.8	2.3	1.20	-3%	8%	1.18	-1%	1%	1.19	1.52
GBP/$	1.34	-0.7	0.2	-0.5	-2.6	1.22	10%	23%	1.30	4%	6%	1.25	1.50
AUD/$	0.72	3.5	0.8	4.3	0.2	0.81	-12%	11%	0.72	-1%	7%	0.78	0.70
NZD/$	0.59	5.5	-0.8	4.7	2.4	0.68	-13%	3%	0.62	-5%	1%	0.65	0.67
$/CAD	1.38	4.4	-1.4	2.9	3.5	1.21	-12%	-7%	1.34	-2%	0%	1.27	1.17
$/CHF	0.79	3.7	-3.8	-0.2	1.7	0.85	7%	16%	0.800	2%	4%	0.83	0.92
$/NOK	9.24	5.6	0.7	6.3	3.1	6.62	-28%	-22%	8.92	-3%	-3%	7.54	8.87
$/SEK	9.34	6.8	-1.8	4.8	3.9	7.44	-20%	-12%	8.99	-4%	-2%	8.06	8.26
$/JPY	159.0	2.6	-2.9	-0.4	0.1	93	-41%	-32%	140	-12%	-6%	112	93
EMEA													
$/CZK	20.90	3.7	-0.3	3.3	1.1	25.3	21%	29%	20.8	-1%	1%	23.5	15.8
$/HUF	309	7.4	1.2	8.7	5.0	329	6%	13%	329	7%	8%	329	261
$/PLN	3.65	3.1	0.4	3.5	1.2	3.92	7%	15%	3.7	2%	3%	3.84	2.43
$/RON	4.51	3.2	1.7	5.0	--	--	--	--	5.25	16%	16%	--	--
$/RUB	73.3	-18.6	8.5	-11.7	-20.4	76.52	4%	21%	75.94	4%	4%	76.29	40.15
$/UAH	44.24	-7.8	11.5	3.7	--	--	--	--	--	--	--	--	--
$/TRY	45.59	-15.6	41.3	19.3	-16.1	32.42	-29%	-26%	45.51	0%	2%	37.66	29.15
$/ILS	2.91	-6.2	-0.9	-7.1	-7.3	3.55	22%	36%	3.03	4%	6%	3.34	4.70
$/ZAR	16.5	4.5	3.2	7.8	1.9	13.01	-21%	-12%	15.4	-6%	-3%	13.98	18.40
$/NGN	1371	9.7	11.2	20.9	--	--	--	--	--	--	--	--	--
Americas													
$/ARS	1390.2	-22.8	28.2	5.5	-24.1	--	--	--	--	--	--	--	--
$/BRL	5.00	0.1	8.4	8.5	-0.7	4.22	-16%	-2%	5.18	4%	9%	4.61	5.28
$/MXN	17.31	-3.9	3.3	-0.7	-5.2	19.51	13%	21%	17.23	0%	2%	18.60	20.29
$/CLP	898	4.5	0.1	4.5	2.8	660	-27%	-13%	830	-8%	-2%	728	787
$/PEN	3.41	3.3	1.9	5.4	2.0	2.79	-18%	-7%	2.98	-13%	-11%	2.87	4.24
$/COP	3686	-1.7	9.6	7.7	-2.7	3487	-5%	8%	3823	4%	7%	3621	3298
Asia													
$/CNY	6.80	4.6	-2.6	1.9	2.9	5.02	-26%	-17%	5.89	-13%	-10%	5.37	5.82
$/HKD	7.83	0.4	-1.0	-0.5	-3.1	6.95	-11%	10%	6.67	-15%	-7%	6.84	5.85
$/INR	96.20	0.2	3.9	4.1	-1.5	85.79	-11%	-3%	86.97	-10%	-6%	86.26	57.50
$/KRW	1509	6.2	-1.0	5.2	4.0	1166	-23%	-6%	1161	-23%	-17%	1164	929
$/MYR	3.96	7.0	-0.9	6.0	3.8	3.27	-17%	0%	4.02	2%	8%	3.57	1.95
$/SGD	1.278	3.1	-2.5	0.5	-0.2	1.36	6%	26%	1.30	2%	8%	1.34	0.57
$/TWD	31.60	3.6	0.5	4.1	0.4	24.9	-21%	-2%	26.1	-18%	-12%	25.4	13.2
$/THB	32.64	-1.1	-1.7	-2.8	-4.0	30.60	-6%	15%	33.83	4%	10%	31.89	18.82
$/IDR	17654	2.6	2.4	5.1	-0.3	14101	-20%	-3%	15947	-10%	-3%	14840	10885
$/PHP	61.59	1.0	1.4	2.3	-2.0	58.87	-4%	17%	63.29	3%	11%	60.64	52.56
Euro Crosses													
EUR/GBP	0.87	-3.9	1.7	-2.2	-2.6	0.99	14%	23%	0.91	5%	6%	0.95	1.01
EUR/CHF	0.91	0.4	-2.4	-2.0	1.7	1.01	11%	16%	0.94	3%	4%	0.98	1.40
EUR/NOK	10.73	2.2	2.1	4.4	3.1	7.93	-26%	-22%	10.49	-2%	-3%	8.96	13.46
EUR/SEK	10.85	3.4	-0.4	3.0	3.9	8.92	-18%	-12%	10.58	-3%	-2%	9.59	12.54
EUR/CZK	24.29	0.4	1.1	1.5	1.1	30.33	25%	29%	24.47	1%	1%	27.99	24.02
EUR/HUF	359	4.0	2.6	6.6	5.0	394	10%	13%	387	8%	8%	391	396
EUR/PLN	4.24	-0.2	1.8	1.6	1.2	4.70	11%	15%	4.4	3%	3%	4.57	3.68
EUR/RON	5.24	-0.1	3.1	3.0	--	--	--	--	6.18	18%	16%	--	--
EUR/RUB	85.1	-21.2	9.9	-11.2	-20.4	91.8	8%	21%	89.4	5%	4%	90.8	--
Addendum													
USD	--	-1.4	-2.1	-3.3	-2.4	--	--	15%	--	--	4%	--	--

Note: USD returns average of all other currencies (except ARS, NGN and UAH) with opposite sign; *EM estimates adjusted for per capita income. Spot values as of Thursday.

See dynamic table here (or click image above): https://publishing.gs.com/content/themes/table.html?criteriaKey=1k2HGqqS2h

Source: Goldman Sachs Global Investment Research

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Reg AC

We, Kamakshya Trivedi, Michael Cahill, Danny Suwanapruti, Teresa Alves, Karen Reichgott Fishman, Stuart Jenkins, Victor Engel and Lexi Kanter, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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Contributing Authors: Kamakshya Trivedi Goldman Sachs International, Michael Cahill Goldman Sachs International, Danny Suwanapruti Goldman Sachs (Singapore) Pte, Teresa Alves Goldman Sachs International, Karen Reichgott Fishman Goldman Sachs & Co. LLC, Stuart Jenkins Goldman Sachs International, Victor Engel Goldman Sachs International, Lexi Kanter Goldman Sachs & Co. LLC.

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